

# Performance Pay at Safelite Auto Glass



Incentives, worker risk, and the 30% guarantee decision

# Why does an eight-hour day produce only 2.5 glass units?

**A Low worker effort**

**B Poor routing and scheduling**

**C Parts and warehouse errors**

**D Demand and travel constraints**

Vote first. Then name one fact that would change your answer.

# A national company inside a fragmented industry

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**500**

stores across the United States

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**3,000+**

employees, including about 1,000 installers

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**44%**

of repairs and installations completed through mobile service

Safelite



**12%**

Harmon Glass



**6%**

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## ASK THE ROOM

20 sec

**Does a national chain make worker effort easier or harder to monitor?**

## OPERATING REDESIGN

# The market system made output measurable



**Economic point:** measurement improved at the same time that production became more interdependent.

### ASK THE ROOM

20 sec

**Where could one mistake stop a productive technician from finishing a job?**

## THE PRODUCTIVITY PUZZLE

# 2.5 units account for only part of the workday

Illustrative allocation of an eight-hour day

1 windshield often took under 1 hour to install

**2.5 hours installing**

**5.5 hours: travel, waiting, errors, breaks, and low effort**

The 5.5 hours are not automatically waste. The case does not report a clean time study.

# 2.5

average glass units per technician per day

## Discussion

Which missing activity creates value, and which one signals avoidable slack?

# The principal can observe output more easily than effort

**Measured output**

**= effort**

**+ operating system**

**+ demand**

**+ luck**

**1**

**Moral hazard:** hourly pay weakens the immediate return to extra effort.

**2**

**Noisy measurement:** units per day mix worker choices with factors the worker cannot control.

**3**

**Contract design:** stronger incentives improve effort but shift more risk to workers.

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**ASK THE ROOM**

30 sec

**If you can count installations, why can effort still be hard to observe?**

## PIECE-RATE MECHANISM

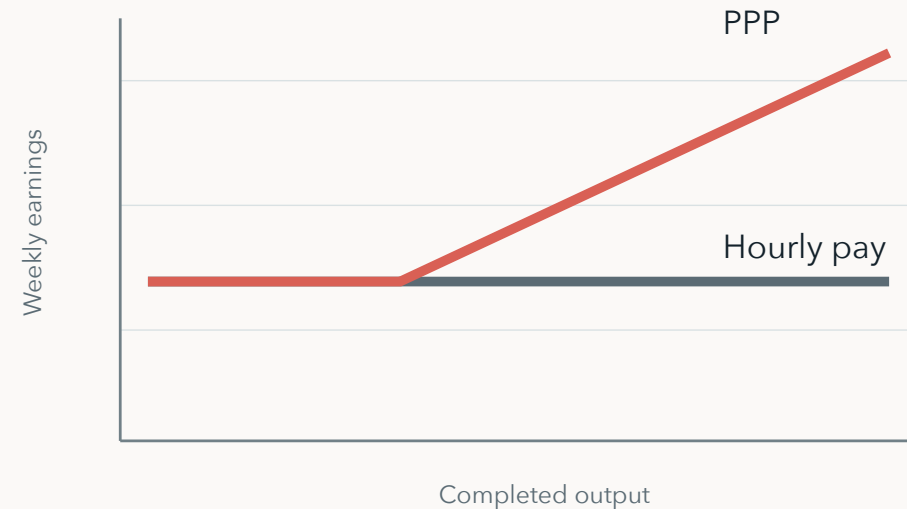
# PPP rewards extra output above the guarantee

### Hourly pay

An extra installation changes pay little in the current week.

### Performance pay

Above the guarantee, an extra installation adds to take-home pay.



### ASK THE ROOM

30 sec

**When would one more installation add nothing to this week's paycheck?**

# A piece rate sits above a changing weekly guarantee

## Weeks 1-12

Safelite pays the higher of piece earnings or the technician's former hourly wage.

## After week 12

Safelite lowers the guarantee by about 30% and still pays the higher of PPP earnings or the new floor.

**Weekly pay = max(piece earnings, guarantee)**

## Incentive effect

The lower floor makes weak output more costly to the technician.

## Insurance effect

The lower floor exposes family income to demand and operational shocks.

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### ASK THE ROOM

20 sec

**Does a lower guarantee change the piece rate or the point where it starts to matter?**

# A five-unit day could produce \$608.96 in a sample week

| Component                   | Weekly value    |
|-----------------------------|-----------------|
| Daily glass mix, five days  | \$490.00        |
| Other installation work     | \$112.51        |
| Items sold                  | \$6.45          |
| <b>Base performance pay</b> | <b>\$608.96</b> |

\$15.22

hourly equivalent at 40 hours

The example assumes five glass units per day, twice the reported average.

ASK THE ROOM

30 sec

What must be true for the advertised \$15.22 per hour to be realistic?

# Who controls each source of lost output?

## Technician

Effort and pace  
Using the manifest  
Checking parts before departure

## Safelite system

Wrong glass supplied  
Routing and scheduling  
Available job volume

## Shared or external

Customer absent  
Weather  
Travel conditions

**Prompt:** Which factor should reduce a technician's pay, and which factor should trigger an operational fix?

# High-powered incentives trade insurance for effort

## Safelite bears more risk

- Income stays stable when demand falls
- Weak marginal effort incentives
- Company can pool shocks across markets

## Technician bears more risk

- Pay responds quickly to output
- Strong reason to hustle and prevent delays
- Income falls after external or system shocks

Optimal incentive intensity falls when performance measures become noisier or workers dislike income risk more.

### ASK THE ROOM

20 sec

**Who can absorb a week of bad luck more easily: Safelite or one technician?**

# Seasonal demand makes the guarantee economically important

## Industry pattern

Spring and summer bring peak demand and fierce competition for technicians. Winter demand troughs and layoffs become common.

A rival could win an installer with only \$1 more per hour plus permission to take the truck home.



Qualitative pattern. The case gives no monthly volume series.

## ASK THE ROOM

20 sec

**Should the guarantee change when winter brings too few jobs?**

THE DISPUTED DESIGN CHOICE

# The 30% guarantee cut is large in a household budget

| Former hourly wage | Former 40-hour week | Guarantee after 30% cut | New guaranteed week |
|--------------------|---------------------|-------------------------|---------------------|
| \$10.00            | \$400               | \$7.00                  | \$280               |
| \$11.00            | \$440               | \$7.70                  | \$308               |
| \$12.00            | \$480               | \$8.40                  | \$336               |

## Management's logic

A lower floor makes the piece rate matter when output stays low.

## Technician's interpretation

Safelite cuts secure pay and asks workers to earn it back.

ASK THE ROOM  
30 sec

At \$11 per hour today, would you accept PPP with a \$308 weekly floor?

## SELECTION EFFECTS

# PPP changes who works at Safelite, not only how they work

### More likely to stay or apply

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Fast, confident technicians who expect to beat the guarantee



Workers who value upside more than income stability

### More likely to leave or avoid Safelite

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Lower-output technicians



Skilled but risk-averse workers with strong outside options

| A productivity increase can combine an effort effect with a workforce-composition effect.

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### ASK THE ROOM

20 sec

## Could PPP drive away a highly skilled technician?

# Workers shift attention toward what the pay formula measures

## Strongly rewarded

- Completed glass units
- Selected installation tasks
- Accessory sales

## Harder to measure

- Installation quality and safety
- Customer explanation and cleanup
- Cooperation and careful part checks

**Scenario:** The next job adds pay but requires rushing. What guardrail changes the choice?

## ORGANIZATIONAL FIT

# Manager incentives depend on store size and job design

| Store class     | Technicians | Time installing | Time managing | PPP eligible? |
|-----------------|-------------|-----------------|---------------|---------------|
| DCC / CTU or AA | Up to 30    | 0%              | 100%          | No            |
| A               | 3           | 25%             | 75%           | Yes           |
| B               | 2           | 40%             | 60%           | Yes           |
| C               | 2           | 75%             | 25%           | Yes           |
| D               | 0           | 100%            | 0%            | Yes           |

PPP can encourage lean staffing, but a manager may underinvest in coaching or staffing if installations pay more visibly.

### ASK THE ROOM

20 sec

**Should a store manager's bonus depend on personal output or the team's output?**

# Design a pay rule for four shocks

## Wrong glass

The warehouse supplied the wrong part. The technician caught it before departure.

## Customer absent

The technician arrived on time, but the customer was not there.

## Winter demand

Dispatch has only three jobs available for the day.

## Repeat repair

A prior installation failed and requires rework.

**Choose:** full piece credit, partial credit, guarantee only, or a quality penalty. Defend one rule.

# Five questions on incentive economics

**1.** Under hourly pay, what happens to immediate pay after one extra installation?

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**3.** Who bears more winter demand risk after the guarantee falls 30%?

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**5.** Paying for quantity while quality stays hard to measure creates what concern?

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**2.** A wrong part supplied on 10%-20% of jobs creates what contract problem?

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**4.** If low-output workers leave after PPP, what economic effect raises average productivity?

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DECISION COMPARISON

# Three contracts solve different problems

| Criterion                  | Keep hourly pay | PPP as designed   | Modified PPP        |
|----------------------------|-----------------|-------------------|---------------------|
| Effort incentive           | Weak            | Strong            | Strong              |
| Income insurance           | High            | Low after week 12 | Targeted            |
| Turnover risk              | Low             | High              | Moderate            |
| Quality protection         | Indirect        | Unclear           | Explicit guardrails |
| Operational accountability | Weak            | Worker pressure   | Shared scorecard    |
| Simplicity                 | High            | Moderate          | Lower               |

ASK THE ROOM

20 sec

Which rating in this table would you challenge?

A POSSIBLE REDESIGN

# Modified PPP can preserve the slope and improve the floor

|                      |                                                                                                               |
|----------------------|---------------------------------------------------------------------------------------------------------------|
| Guarantee            | Reduce the floor gradually, or vary it by season and the volume of jobs Safelite makes available.             |
| Controllable credits | Give partial credit for verified customer absences and warehouse errors when the technician followed process. |
| Quality gate         | Pay piece rates only when rework, safety, and complaint measures stay within an acceptable range.             |
| Pilot scorecard      | Track output, total labor cost per unit, quality, earnings dispersion, quits, and customer service by market. |

# What should Safelite do now?

**A**

## Roll out PPP as designed

Keep the 30% guarantee reduction after 12 weeks.

**B**

## Modify and roll out PPP

Retain piece rates with risk and quality protections.

**C**

## Keep hourly pay

Fix operations and supervision before changing compensation.

**Vote, then defend:** What is your strongest economic reason, and what evidence could reverse your choice?